

Challenges of Generative AI in Code Generation

While Generative AI (GenAI) significantly accelerates software development, it also introduces **technical, operational, and human challenges**. Understanding these challenges helps organizations adopt GenAI responsibly and effectively.

1. GenAI in Code Generation: Challenges (Overview)

Generative AI systems generate code by predicting patterns learned from massive datasets. However, they:

- Do not truly “understand” business context
- May generate incorrect or insecure code
- Depend heavily on training data quality
- Require human supervision

High-Level Challenge Categories

Category	Description
Technical	Complexity, scalability, performance
Quality	Correctness, security, maintainability
Human	Trust, skills gap, adoption
Legal/Ethical	Licensing, IP concerns

2. Challenges: Code Complexity

Modern software systems are **large, distributed, and interconnected**. GenAI struggles when:

- Applications have thousands of files
- Multiple microservices interact
- Complex domain rules exist

Problems

- Limited project-wide context
- Difficulty maintaining architectural consistency
- Weak handling of cross-module dependencies

Example

Prompt

Generate authentication module for banking system

Possible AI Output

- Basic login API
- No multi-factor authentication
- No audit logs
- No role-based access

Issue:

Real banking systems require strict security, compliance, and workflows.

Consequences

- Fragmented code
 - Poor scalability
 - Rework needed
-

Mitigation Strategies

- ✓ Break large problems into smaller tasks
 - ✓ Provide architecture diagrams
 - ✓ Use design-first approach
 - ✓ Human architect review
-

3. Challenges: Quality and Reliability

GenAI code may:

- Compile but fail logically
 - Contain vulnerabilities
 - Use deprecated libraries
 - Produce inconsistent style
-

Example – Logical Error

```
def average(nums):  
    return sum(nums) / len(nums)
```

Problem:

Fails when list is empty.

Improved

```
def average(nums):  
    if not nums:  
        return 0  
    return sum(nums) / len(nums)
```

Security Risk Example

```
db.query("SELECT * FROM users WHERE id=" + userId)
```

Risk: SQL Injection

Secure Version

```
db.query("SELECT * FROM users WHERE id=?", [userId])
```

Reliability Concerns

- Hallucinated APIs
 - Incorrect assumptions
 - Partial implementations
-

Mitigation Strategies

- ✓ Code reviews
 - ✓ Automated testing
 - ✓ Security scanning
 - ✓ Linting tools
-

4. Challenges: User Adoption

Many developers hesitate to fully adopt GenAI.

Reasons

- Fear of job displacement
 - Lack of trust in AI output
 - Steep learning curve
 - Unclear usage policies
-

Example Scenario

Developer ignores AI suggestions because:

“I don’t know if this code is safe.”

Organizational Challenges

- No training programs
 - No guidelines
 - No governance
-

Mitigation Strategies

- ✓ Training & workshops
 - ✓ Clear policies
 - ✓ Pilot projects
 - ✓ Position AI as assistant, not replacement
-

5. Additional Hidden Challenges

a) Data Privacy

Sensitive code may be exposed.

b) IP & Licensing

Generated code might resemble open-source code.

c) Cost

Enterprise GenAI tools can be expensive.

5. Quick Check

Q1. What is the biggest challenge with complex systems?

- A) Speed
- B) Context limitation
- C) UI design
- D) Syntax

✓ Answer: B

Q2. True or False

GenAI always generates secure code.

☐ False

Q3. Identify the issue

```
def divide(a,b):  
    return a/b
```

✓ Missing zero check

Q4. What improves reliability?

- A) Skipping tests
- B) Human review
- C) Ignoring warnings
- D) Blind trust

✓ Answer: B

Q5. Short Answer

Why is user adoption slow?

✓ Lack of trust and skills.

Summary

Generative AI in code generation faces challenges related to:

- Handling complex architectures
- Ensuring high-quality and secure code
- Gaining developer trust and adoption

With **proper governance, training, and human oversight**, these challenges can be effectively managed.
